

Copper Commune

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Compiled by Sampa C Lahiri, SM(CC), HCL/Corp. Comm.

China Stocks Drop to Nine-Month Low on Economic Growth, Bank Loan Concern

Bloomberg News - Jun 20, 2011

Howard Wang, head of the Greater China team at JPMorgan Asset Management, talks about China stocks and his investment strategy. China's effort to cool home prices is damping the market for existing homes, with prices in May falling from the previous month in 23 of 70 cities measured. Wang speaks in Hong Kong with Susan Li on Bloomberg Television's "First Up."

(Source:

Bloomberg)



China's stocks fell, dragging the benchmark index to the lowest in almost nine months, after Credit Suisse Group AG said the country is heading for a "sluggish landing" as economic growth slows and bank risks rise.

[Industrial & Commercial Bank of China \(601398\)](#) Ltd. paced declines by lenders after Credit Suisse cut their ratings on banking shares to "underweight." PetroChina Co. and coal producer China Shenhua Energy Co. dropped among energy producers as crude oil traded near a four-month low.

"It looks like inflation won't ease too quickly and tightening policies will continue," said Wei Wei, an analyst at West China Securities Co. in Shanghai. "I don't see a policy reversal in the short term."

The Shanghai Composite Index, which tracks the bigger of China's stock exchanges, dropped 11.05, or 0.4 percent, to 2,631.77 at 9:40 a.m., set for the lowest close since Sept. 29 and extending last week's 2.3 percent decline. The [CSI 300 Index](#) fell 0.9 percent to 2,892.16.

The Shanghai Composite has slumped 14 percent from this year's high on April 18 on concern government measures to cool inflation will slow economic

growth. The central bank has raised [reserve requirements](#) 12 times and [interest rates](#) four times since early 2010. The [stock index](#) has lost 6.2 percent this year, extending the 14 percent retreat in 2010.

Industrial & Commercial Bank of China, the nation's biggest listed lender, dropped 0.5 percent to 4.27 yuan. Shanghai Pudong Development Bank Co., the Chinese partner of Citigroup Inc., lost 0.3 percent to 9.53 yuan.

Estimates Cut

Recently published data from the People's Bank of China show lenders face a larger-than-expected "credit overhang," Credit Suisse analysts led by Vincent Chan wrote in a report. They cut their ratings on banking shares to "underweight" from "overweight," while increasing utilities to "overweight" from "market weight."



The analysts also lowered their 12-month forecast for [Hong Kong's](#) Hang Seng China Enterprises Index to 15,000 from 17,500, and reduced its target for the Shanghai A-Share Stock Price Index to 3,000 from 3,650. Their estimate for the MSCI China Index was cut to 76 from 89, according to the report.

Inflation is likely to grow 5.5 percent in June, which is expected to be the fastest this year, the Shanghai Securities News reported over the weekend, citing Zheng Xinli, deputy director of the China Center for International Economic Exchanges. Inflation for the whole year is estimated at 4.8 percent, Zheng said at a conference yesterday, according to the newspaper.

Is Southern Copper a Stock for the Long Term?

Does this company have the traits of a good retirement stock?

Motley Fool.com, 19 June, 2011

Being able to retire rich, or at least comfortable, is the goal of almost any investor. However, that's much easier said than done. In a recent Wells Fargo survey, respondents between the ages of 50 and 59 said that they had, on average, about \$29,000 saved up. With pensions pretty much gone, and Social Security targeted for cuts in the future, it's hard to count on anyone but yourself. But \$29,000 isn't going to cut it for most people, so you have to get involved in the stock market to grow that nest egg. Getting in the game is the easy part; choosing the right stocks is the hard part.



Making prudent decisions

Generally speaking, I look for four traits in a retirement stock:

1. **Valuation:** Investors of all ages want to make sure they're not overpaying for a stock, but this matters even more in retirement. Retirees don't have the long time horizon that younger investors have, so it's essential to make sure you don't overpay in the short term.
2. **Dividends:** Most retirees need a combination of both growth and income, as they'll be depending more and more on their portfolios to help with everyday expenses. Companies that pay dividends not only offer immediate income, but they've also proved to outperform non-paying dividend companies over long periods of time.
3. **Growth:** Investors love dividends, but we all want to see our stocks rise over time. Growth can be as big a part of your portfolio as a steady

dividend. It's important to note that you don't need a high-flying stock that's going to shoot to the moon; a company that can grow and outperform the market is hard enough to find, so steady growth is highly covetable.

4. **Low volatility:** Retirees want to invest in great growth stocks just as much as anyone else does, but they also want to be able to rest well knowing that their portfolio won't be taking them on a roller-coaster ride. Most retirees would rather own a sturdy company that lets them sleep at night than a company that whips up and down with the gyrations of the market.

Although some companies are definitely more geared toward retirees, which companies you choose to invest in will be dictated largely by what you already have in your portfolio. Small, mid-, and large caps can all play a role in your investing strategy, so I've chosen to evaluate all varieties of stocks in this regular series.



So how does Southern Copper stack up?

To check out the valuation of Southern Copper, we don't want to look at only its P/E ratio of 18.4. That may seem expensive, but really we don't know without looking at the ratio in historical context. Over the past five years, Southern Copper's average P/E ratio has been 19.3, which is greater than the current ratio. Investors could be seeing an opportunity to buy Southern Copper on the cheap right now. Southern Copper's dividend is 6.48%. That's tremendous; not only does Southern Copper pay a dividend, but it pays more than the average company in the S&P 500.

Let's look at the competition

We've taken a look at Southern Copper, and maybe you think it's passed all the tests, or maybe you just don't feel comfortable with the results. Whatever the

case, it's beneficial to see how a company stacks up in its industry, because it's just as important to understand a company's competitors as it is to understand that particular company. Here are Southern Copper's stats when compared with three of its closest competitors.

Bad weather halts Chile's Escondida copper mine

Reuters and Dow Jones Newswires, Santiago, June 18

BHP Billiton is waiting for an update on conditions at Chile's Escondida, the world's largest copper mine, after it temporarily suspended operations due to bad weather, a spokeswoman said today.

Chile's Escondida, the world's biggest copper mine, temporarily halted operations on Saturday due to heavy rain and snow, a company statement said.

Escondida, majority-owned by global miner BHP Billiton is in the north of Chile, the world's No. 1 copper producer. Bad weather across much of the country closed ports, roads and caused power cuts on Saturday.

The rainfall is expected to last for the rest of the weekend and mine operators at Escondida said, "Operations will start once we can ensure weather conditions no longer pose any risk to workers." It did not estimate production losses.



Escondida's output fell 1.4 percent in 2010 from a year earlier to 1.09 million tonnes due to lower production of copper cathodes. But the pace of output decline slowed after two years of sharp falls.

BHP has a 57.5 percent stake in Escondida, while Rio Tinto owns 30 percent. JECO Corp, a consortium formed by Mitsubishi Corp, owns 10 percent and JECO 2 Ltd owns 2.5 percent.

S.Korea to import 12,000 t/y copper from Mexico Boleo

Reuters, June 16, 2011

Korea Resources Corp (KORES) said that it would import 12,000 tonnes of copper a year from Mexico's Boleo mining project from 2013 for 23 years, as ground was broken on the project three years after an investment deal on it was signed.

The company said in a statement that a total of 1.4 trillion won (\$1.29 billion) would be invested through the first half of 2013 to produce the metals from the second half of the year.



A South Korean consortium led by state-run entity KORES won in 2008 a 30 percent stake in the project expected to produce 38,000 tonnes of copper and 1,600 tonnes of cobalt annually, with the remainder held by Canadian firm Baja Mining.

The consortium also includes LS Nikko, Hyundai Hysco , SK Networks and Iljin Materials, the statement noted.

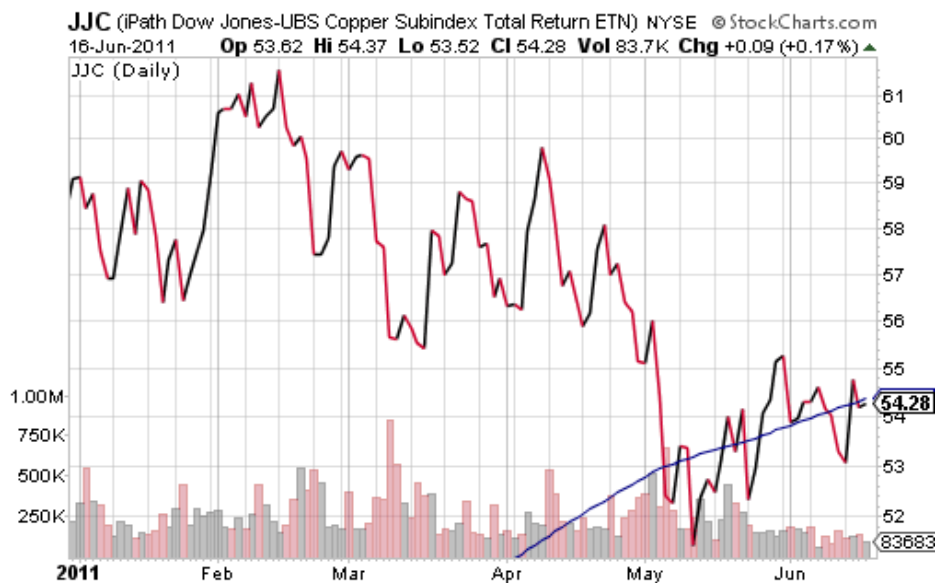
A KORES official said environmental impact studies and financing issues had delayed the commencement of construction on the project. (\$1 = 1087.650 Korean Won) (Reporting by Cho Mee-young; Editing by Jonathan Hopfner)

Commodity ETNs, ETFs Suggest the Global Economy May Pick Back Up

Seeking Alpha, June 16, 2011

Before it was fashionable to question the sustainability of worldwide GDP growth, I did exactly that. I questioned it. (See March 9, 2011's "[Copper ETFs May Be Indicating A Pause For The Bull Market.](#)") It wasn't that I believed that developing economies were raising rates too rapidly. Nor did I insist that recovery in the developed world could only be explained by the accommodative policies of central banks. In essence, it was Dr. Copper that raised my eyebrows.

More specifically, iPath DJ Copper ([JJC](#)) peaked in mid-February. It fell below a 50-day simple moving average in March. It hit lower lows in four consecutive months from February through May, dropping as much as -17% from a February peak to a May floor. And it currently sits below a long-term 200-day moving average.



So why do I get the sense that things may soon change for the better? Since iPath DJ Copper (JJC) hit a 2011 bottom in the month of May, it has risen 5.5%. JJC has also shown a capacity to break through technical resistance to

the upside. What's more, [Bloomberg recently reported](#) that copper stockpiling in China may have abated by 50% over the last two months, suggesting that the country will increase imports dramatically to keep up with its rapid growth needs.

And there's more. Goldman Sachs sees copper rising 20% from current levels. Similarly, many industrial metals in the iPath ETN stables have rallied off respective May lows.

As copper demand picks up, and as the demand for other industrial metals rises, emerging market stocks should outperform developed world stocks. Note the marginal outperformance of VWO over SPY since respective low points of May. The May-June swoon for stock assets could get uglier. And even though many of the metals come directly from the Periodic Table of Elements, this assessment hardly meets the rigors of scientific scrutiny.



Nevertheless, paying attention to Dr. Copper has served me well over the past 22 years. If iPath DJ Copper (JJC) can break through technical resistance and stay above a 200-day moving average, one should expect resources-intensive emerging market stock ETFs to follow suit. (Keep a watchful eye on iPath DJ Industrial Metals (JJM) as well.)

LME copper slips, U.S. data, Greek debt weigh

Reuters, Jun 16, 2011

London copper extended losses on Thursday, pressured by a bounce in the dollar against the euro as disappointing U.S. data and the unfolding Greek debt

crisis weighed on prices.

The dollar held at three-week highs against a basket of major currencies, having staged its biggest rally in 10 months on Wednesday on a wave of short covering as worries about the impact of the Greek debt crisis hammered the euro.

Three-month copper on the London Metal Exchange fell 0.8 percent to \$9,084.25 at a tonne by 0750 GMT, after losing 0.2 percent in the previous session. The most-active August copper contract on the Shanghai Futures Exchange SCFcv1 closed down 0.7 percent at 68,150 yuan per tonne. Copper will continue to be directed by macroeconomic factors in the absence of changes to its fundamentals, Jinrui Futures analyst Guo Yong said.

"As a widely used industrial metal, it is the most representative among the base metals in reflecting developments in the global economic outlook. And being in an overall supply deficit situation, it has also been attractive to speculators," he said. "We can expect more rangebound volatility to follow key economic data events around the globe. But I think daily price fluctuations will stay moderate -- within \$300 on the LME and 2,000 yuan on the Shanghai exchange."



Data on Wednesday showed the U.S. economy is facing a troubling mix of higher prices and weak growth. Underlying U.S. inflation rose to its highest level in nearly three years in May while a regional factory gauge posted a surprise contraction this month.

The world's economic prospects have darkened slightly, a Reuters poll of economists showed, with new signs of a slowdown in the United States compounding fears about the poor fiscal health of Western economies. "The Chinese copper market is also under pressure from the specter of more tightening after the rise in the yield on bills," said a Shanghai-based trader.

The yield on the Chinese central bank's three-month bills unexpectedly rose by around 8 basis points at auction on Thursday, suggesting to many market participants that another benchmark interest rate rise may be on the way. Euro zone officials said a new three-year financing programme for Greece may be delayed until next month due to differences over how to involve private investors, even as the country teetered on the brink of default and protests against austerity turned violent in Athens.

China is likely to increase bank deposit rates twice more this year while raising lending rates just once before pausing in its present policy tightening cycle aimed at taming inflation, a Reuters poll showed. The tightening measures will further squeeze credit available to base metal consumers. Base metals fell across the board on the LME and ShFE, with the exception of LME aluminium, which edged up just 0.08 percent.

Growth worries push copper 0.8pc lower

Dow Jones Newswires, June 16, 2011

COPPER futures fell today, pressed by a stronger US dollar and disappointing US data that revived concerns about economic growth. Copper for July delivery, the most actively traded contract, settled down US3.3 cents, or 0.8 per cent, at \$US4.1220 a pound on the Comex division of the New York Mercantile Exchange.

A set of disappointing economic reports added to worries that stumbling US growth may curb copper demand. The US consumer-price index last month posted its biggest gain in almost three years, industrial-production growth came in weaker than expected in May, and manufacturing conditions in the New York region weakened this month.

"It's all economic worries," said Charles Nedoss, senior market strategist with Olympus Futures. "Things are getting more expensive. The fear is buyers are going to step back. It's impressive metals are holding up so well."

Copper is sensitive to the growth outlook because of its widespread use in construction and manufacturing. Copper futures also came under pressure today from a sharply stronger US dollar. Like other US dollar-denominated commodities, copper can come under pressure as a strengthening greenback

dampens demand by making the futures more expensive for buyers using other currencies.



The ICE US Dollar Index, which tracks the currency against those of some major US trading partners, was recently at 75.466, up from 74.332 late in the previous New York session. The index today touched its highest levels since May 26, as worries about a possible Greek default and the weak US data sent investors piling into the greenback.

Copper futures had surged yesterday to their highest price in two weeks as traders bet that a better-than-expected reading on Chinese industrial output meant demand from the world's largest metals consumer would hold steady.

Chinese officials have tried to limit inflation through a series of increases in bank-reserve requirements and interest rates, spurring worries that tighter credit would limit the ability of copper consumers to finance purchases.

China's appetite for metals was a driving factor in copper's rise to a record above \$US4.60 a pound in February. Copper has struggled for direction this month as traders weigh a clouded economic picture in the US, Europe and China. Futures have remained above the psychologically important \$US4-a-pound level, but haven't been able to hold much upward momentum.

How will the next quarter be for Indian commodities? Bearish

Economic Times - Jun 15, 2011



How will the next quarter be for Indian commodities? In one word: bearish. The hot money has vanished. Shortages have given way to plenty. Indian metal prices will move in tandem with sluggish global prices. Global industrial production volume growth is down to almost half since December. In the developed world, factories have slowed down because expensive raw material, the Japanese quake crisis, EU fiscal consolidation and low disposable incomes have reduced consumer demand. Policy tightening in China and India to fight inflation has decelerated growth. Bellwether copper is a good indicator.

China, the world's top copper consumer, imported 40% less in 2010-11. With inflation at a 34- month high in May, recovery will be slow. Nickel, the main input for steel, and aluminium face a glut. Crude oil is gyrating on either side of \$100 a barrel. Prices will remain capped by the world's limited ability to pay and sluggish demand. More importantly, hot money is flowing out of commodities.

Traders interpret dull equity markets as portend of a global slowdown affecting overall commodity demand. Luckily for them, major Wall Street banks have been almost uniformly and strongly bullish - with warnings about the potential for a sharp market tightening in the second half of the year and explosive price increases. So, when prices rose in May due to this prodding, smart hedge funds used the rally to scale back their exposure.

Copper ends down as dollar rally saps momentum

Reuters, Jun 15, 2011



Copper ended lower on Wednesday, failing to extend earlier gains into a two-day rally, as a stronger dollar and more uneven U.S. data spurred investors to seek out safer havens for their money.

Base metals and other raw materials such as crude oil were hit hardest as the economic data continued to disappoint and the dollar surged, setting the Reuters-Jefferies CRB index .CRB, a commodities benchmark, up for its largest loss in three weeks.

The dollar rallied after data showed underlying U.S. inflation rose to its highest level in three years in May, while a regional manufacturing gauge contracted this month, underscoring the headwinds facing the economy.

Earlier, data showed industrial output in the euro zone defied expectations of a decline, gaining 0.2 percent in April. U.S. industrial production figures for May came mostly in line with expectations showing incremental improvement.

"It's a tough environment because it seems like people are risk-on one day and risk-off the next ... there is no continuity to it," said Sean McGillivray, vice president and head of asset allocation for Great Pacific Wealth Management in Oregon. "It just seems like we are getting such disconnect in the data."

London Metal Exchange (LME) three-month copper CMCU3 eased \$16 to end at \$9,154 a tonne. It earlier hit a session peak of \$9,234, its highest since June 1. In New York, the benchmark September COMEX copper contract HGU1 dipped 3.45 cents to settle at \$4.1390 per lb, closer to the bottom end of its \$4.1305 to \$4.20 session range. After the close, it dipped further to \$4.1250.

"More downward pressure on the dollar would be supportive for commodities, but the more overriding effect is concerns over slowing in China. We still think there is more tightening to come," analyst David Wilson of Societe Generale said.



China's central bank has raised interest rates four times since October and lifted the reserve requirement ratio (RRR) its preferred policy tool which mops up excess cash in the economy

Copper Stock Flows

Copper inventories in LME-monitored warehouses fell for a third straight session, losing 1,050 tonnes to 472,625 tonnes, data on Wednesday showed. Most of the material was seen heading to warehouses in Gwangyang, South Korea.

Stocks of copper in bonded warehouses in Shanghai are estimated to have fallen by around 50 percent from above 600,000 tonnes earlier this year as merchants have sold the material into China's backwardated market to take advantage of strong prompt prices.

"Reports of sharply declining bonded stock levels in China in recent weeks has also seen sentiment improve towards copper," noted Standard Bank. "It will be more interesting to see whether firmer copper premiums and improved sentiment sees merchants ... start to relocate metal to bonded warehouse in China now ... to benefit from expectations of firmer demand and restocking activity following the summer period."

"This would see import figures pick up, perhaps even in absence of a viable arbitrage," it added. Analysts say China is likely to return to the copper market and vindicate predictions of a deficit this year, easing concerns that its absence could fuel a surplus.

Kazakhmys gets \$1.5bn loan from China

The Telegraph, 14 Jun 2011

Copper miner Kazakhmys has signed an agreement for a \$1.5bn (£920m) loan from China as the country's president Hu Jintao arrives in Kazakhstan on a tour of the former Soviet Union.

The loan from China Development Bank (CDB) will allow the FTSE 100 company to push ahead with its key Aktogay copper mine, helping it boost production by as much as 60pc to meet growing demand from China.



"We are delighted to be developing our relationship further with CDB. This funding will allow us to develop Aktogay and yet retain full ownership of the asset," said Oleg Novachuk, Kazakhmys chief executive.

The loan, to be finalised by the end of this year, comes as the company prepares for its dual listing this month on the Hong Kong Stock Exchange, a move designed to bring it closer the Chinese market that accounts for nearly 50pc of its sales.

Securing Kazakhstan's rich oil, gas and mineral reserves is a priority for the Chinese, and Mr Hu's visit follows March's state visit to Beijing by Kazakh president Nursultan Nazarbayev.

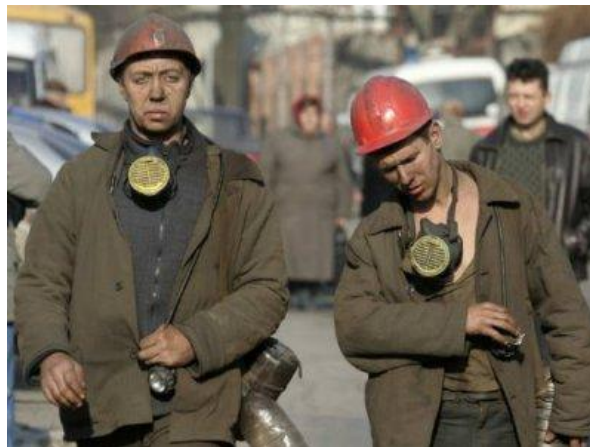
But the sale of resources to the Chinese is unpopular in the country, with opposition parties last month protesting against sales of oil and mining assets to the Chinese.

Chile Codelco mine output up but violence flares

Reuters, June 13, 2011

A three-week contractor strike at the world's No. 5 copper mine, Chile's El Teniente, will hit future output, Codelco's CEO said on Monday, as fresh protest violence raised the specter of a prolonged disruption.

Mine owner Codelco has struggled to normalize output at the world's top underground operation after having to slow operations over a week ago due to violence by contractors demanding higher wages. The 404,000 tonne-a-year mine was producing at 73 percent of capacity on Monday as more workers reached the mine, the company said.



The strike weakened after thousands of contractors broke off, but sporadic violence flared again on Monday at a march in the northern city of Rancagua, when demonstrators pelted a bus with stones and police said they arrested about 15 people, including prominent protest leader Jorge Pena. The risk of a prolonged disruption in the world's top copper producer could provide support for copper prices CMCU3, which hit three-week lows in London.

Negotiations between the remaining contractors and their employers failed to resume on Monday because of the fresh violence. "We are going to lose future production," Codelco's CEO Diego Hernandez told Reuters at a mining forum in the northern city of Antofagasta, in Chile's mining heartland.

"Development (of the mine) is falling behind, and that is going to affect us," he added. He said it was too soon to say if the mine would fall short of its annual

output target. Hernandez said last week the company had lost about 7,000 tonnes of copper due to the protest.

The state miner had expected to return to full production over the weekend, but held many workers back after contract workers pelted mine buses with stones on Thursday.

Xstrata gets go ahead for copper acquisition

<http://www.miningaustralia.com>, June 10, 2011

Exco shareholders have approved the sale of the E1 and Monakoff copper tenements to Xstrata. The \$175 million deal for the north Queensland assets will be paid in cash and completed over the next month. Both E1 and Monakoff are located near to Xstrata Copper's Ernest Henry mine and contain open pit copper minerals resources.

Ore from the two projects will be transported to the Ernest Henry mine and processed through its concentrator. Xstrata Copper North Queensland chief operating officer Steve de Kruijff said these projects will strengthen its Ernest Henry operations.



The recent announcement of [the closure](#) of its smelting and refinery operations is expected to cut around 400 jobs. “We anticipate the development of the E1 and Monakoff copper project will create around 100 full time jobs.”

This is in addition to the jobs already created in the recent expansion of the Ernest Henry copper mine from an open cut pit into underground operations, and its construction of a [magnetite extraction plant](#).

“Transforming our Ernest Henry operations to an underground mine involves 330 jobs during construction and will provide 400 long term job opportunities from 2013 onwards,” he said.

The miner is the first in Queensland to export iron ore, with the site producing “approximately 1.2 million tonnes of magnetite concentrate per annum at full capacity for export to Asia,” de Kruijff said. It signed [an agreement](#) with QR and Pacific National in April to transport its ore along the 1030 km long rail line.

Copper May Fall on Demand Concern as Rates Climb, Survey Shows

Bloomberg, Jun 10, 2011

Copper may fall on speculation demand will weaken as economies struggle to maintain the pace of growth and central banks raise [interest rates](#), a survey showed.

Seven of 14 analysts, investors and traders surveyed by Bloomberg, or 50 percent, said prices will drop next week. Six predicted a gain and one forecast little change. Copper for three-month delivery was down 0.4 percent for this week at \$9,060 a metric ton by 5:20 p.m. yesterday on the [London](#) Metal Exchange.



Industrial production unexpectedly declined in Germany, the world’s third-biggest copper user in 2010, and initial claims for jobless benefits in the U.S. rose after economists predicted a drop, figures showed this week. The European Central Bank yesterday signaled an interest-rate increase in July. Borrowing costs rose last month from [Norway](#) to [India](#).

“The copper market seems to be in a medium-term downtrend now as a deteriorating economic climate weighs on prices,” said William Adams, an analyst at Basemetals.com in London.

The red bars on the attached chart are derived by subtracting bearish forecasts from bullish estimates, with readings below zero signaling the majority of respondents expect a decline. The green line shows the copper price. The survey data shown are as of June 3.

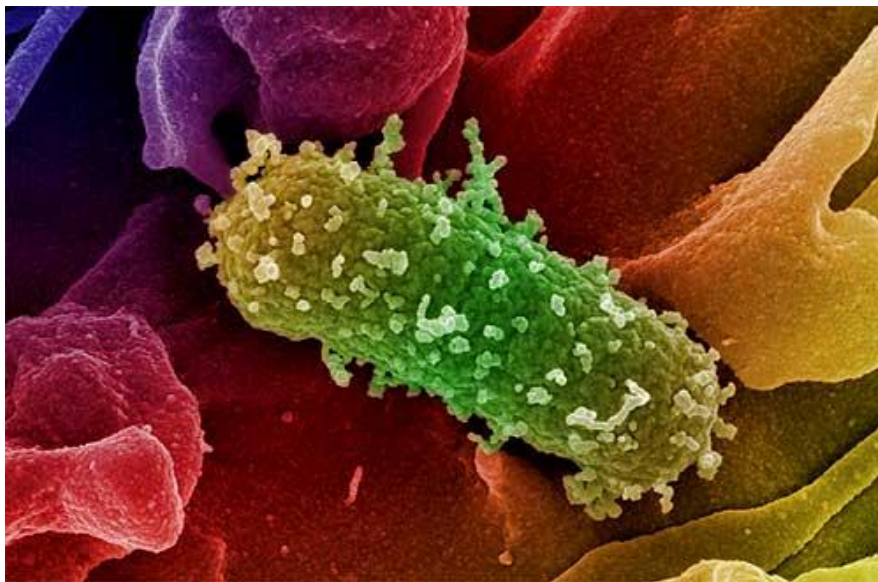
The weekly copper survey has forecast prices accurately in 68 of the past 140 weeks, or 49 percent of the time.

Copper shown to kill E. coli bacteria

United Press International, June 2, 2011

A British study says copper can play a role in preventing E. coli outbreaks like the one from the new O104:H4 strain that has killed 17 people in Germany.

Experiments conducted at the University of Southampton have demonstrated the inherent anti-microbial property of the metal, a university release reported Thursday.



"A study looking at copper's efficacy against new strains of E. coli has just been completed," Bill Keevil, Head of the Microbiology Group at Southampton, said. "Although it did not specifically look at O104, all the strains investigated have died rapidly on copper."

The study showed 10 million E. coli bacteria can be eliminated within 10 minutes on a dry copper surface. Even on a wet copper surface, a total kill can be expected within around 45 minutes, the researchers said.

This anti-microbial property of copper remains active in alloys such as brass and bronze, they said.

As a surface covering in food preparation areas, copper could continuously kill any pathogens that settle on it, reducing the risk of cross-contamination and helping prevent the spread of infection, the study said.

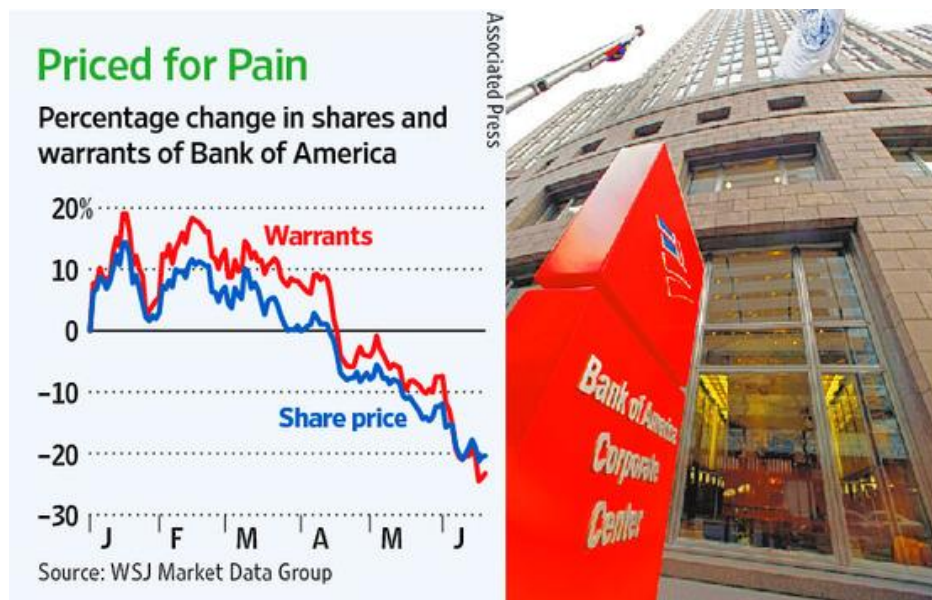
Battered U.S. Financial Stocks Warrant a Closer Look From Investors

The Wall Street Journal

Even lost decades have to end sometime. That notion offers little solace right now to investors in beaten-down financial stocks. But it may present an opportunity for those who think the U.S. economy will right itself, at least before 2020.

One way to play that is through warrants on financial firms developed as part of government bailouts. Firms with such warrants include [Bank of America](#), [J.P. Morgan Chase](#), Wells Fargo, [Capital One Financial](#) and Hartford Financial Services Group. These mostly expire in 2018 or 2019. Given that, the warrants offer a way for investors to make a long-term wager on the U.S. outlook without having to tie too much capital over such a lengthy period.

Granted, warrants, essentially long-term options to purchase stock at a preset price, can expire worthless. And they are more volatile than the underlying stocks.



Still, they may have a fundamental allure. The current economic malaise is largely because the U.S. is in a deleveraging cycle in which households are shedding debt. This is painful, especially for financial firms who end up lending less. That, along with the prospect of higher capital requirements and the potential for further mortgage losses from a housing double dip, has dogged bank shares recently.

And deleveraging can take a long time. While companies can restructure quickly, individuals take far longer. The ratio of household debt to disposable income fell to 114% in the first quarter, according to Federal Reserve data, down from a peak of 130% in 2007. Yet even at a similar pace, it would take another five years or so to approach a more sustainable 90% level.

That argues for continued pain for financial stocks, and there is the risk, as shown by Japan, that the process produces years of stagnation. Yet deleveraging also is leading to improved household credit quality and will allow for increased spending at some point, note Goldman Sachs economists. In other words, the economy eventually should see gain from today's pain.



If so, the bailout-era warrants could prove attractive. Warrants for J.P. Morgan trade at \$12.93 and have a strike price of \$42.42. For the warrants to be in the money, the stock would have to top \$55.35, or gain about 35% over six years. That isn't unthinkable. Hartford's options, meanwhile, are almost in the money; the stock has to gain only about \$2, or about 8%, for the options to have value.

BofA presents perhaps the most risk given its raft of mortgage-repurchase problems, but also potentially more reward. Its "A" warrants are down about 25% since the start of the year; they trade at about \$5.50 each and have a

strike price of \$13.30. To move into the money, BofA's share price would have to top \$18.80 by January 2019.

The shares today trade for less than \$11 and are at an about 6% discount to tangible book value. But if the bank in coming years can get a handle on its mortgage problems, its valuation and share price is likely to improve significantly.

Seven years provides time to heal many wounds. And if things improve sooner, the warrants would do even better.

Xstrata axes 400 jobs in Qld closures

The Sydney Morning Herald, May 18, 2011

Xstrata, the world's fourth-largest copper producer, plans to phase out copper smelting and refining in northern Queensland by the end of 2016 in the face of a worldwide capacity glut, dismantle its plants and shift to sales of concentrates.



The shift comes days before Xstrata's 34 per cent owner, commodities trader Glencore plans to go public, a move that many see as a precursor to a takeover bid for Xstrata. Glencore specialises in trading vast amounts of bulk commodities, such as coal, sugar and metals concentrates, around the world.

Steve de Kruijff, chief operating officer of Xstrata's Copper North Queensland division, cited poor margins in smelting and refining for the move to phase out smelting and refining in Australia.

"Market conditions have been very challenging for copper smelting and refining operations as a result of over capacity in the global market, low treatment and refining charges and increasing operating and capital costs," he said in a statement.

"The economic viability of our Mount Isa copper smelting and refining operations has been under increasing pressure for a number of years and cannot be sustained in the long term.

An Xstrata spokesman said the smelter in Mt Isa, the company's only smelter in Australia, and its refinery in Townsville, would be dismantled over the next five years rather than sold, with copper ores under the smelter mined at a later date.



More than 400 staff will be affected by the shift, but the company said it wants to keep them on in other areas of the business. In 2010, the smelter produced 213,031 tonnes of copper in anode. It accounts for more than half of Australia's total smelting capacity, with BHP Billiton's Olympic Dam operation a distant second at about 200,000 tonnes a year.

But the immediate impact of the closure plan would be mainly psychological, one analyst said. "I don't foresee any immediate impact on the copper markets now since the smelter is slated to close only in five years' time," said Yang Jun, an analyst for China Futures Co. "Moreover, I believe the global copper supply will be in deficit only until 2013. Any impact it has on the immediate demand should merely be psychological," he said.

The Swiss-based miner will redirect efforts on expanding its copper and zinc mines in northern Queensland, expanding exports of mineral concentrates

rather than cathode. Xstrata's 300,000 tonnes-a-year smelter at Mount Isa, which accounts for roughly half a per cent of total world smelting capacity, runs concentrate blended from its Mount Isa and Ernest Henry Mines. The anode is then refined into cathode at its Townsville refinery, which also refines anode produced overseas.

The Townsville refinery produced 287,001 tonnes of saleable copper cathode in 2010. Spot market treatment and refining charges have dropped to about \$US100 a tonne and 10 cents/lb from \$US120 a tonne and 12 cents a pound in March.

The fees are paid by concentrate sellers to smelters, and then are deducted from the final sale price, based on the London Metal Exchange copper price. Global smelting capacity is set to expand 14 per cent to 20.68 million tonnes by 2014, according to the International Copper Study Group. Xstrata last year produced 913,500 tonnes of copper in cathodes and concentrates, company data showed.
